

Disruptive Innovation

GLOSSARY 01 - SHEET 6 / 8

A process by which a low-end or new-market entrant displaces established competitors

PROFESSIONAL DEFINITION

Disruptive innovation is a process by which a product or service initially takes root in simple applications at the low end of a market, or creates a new market among non-consumers, and then moves upmarket over time until it displaces established competitors. The term describes the trajectory of an entrant relative to incumbent performance, not the novelty or impressiveness of the technology itself (Christensen, 1997; Christensen, Raynor and McDonald, 2015).

WHO DEFINED IT ORIGINALLY

Clayton M. Christensen developed the theory at Harvard Business School through study of the disk-drive industry, publishing it as *The Innovator's Dilemma* (1997). Christensen, Raynor and McDonald (2015) subsequently narrowed the definition in *Harvard Business Review* after two decades of misapplication. The critical literature, notably Lepore (2014) and King and Baatartogtokh (2015), disputes its predictive power.

WHY THIS DEFINITION WAS DEVELOPED

Christensen sought to explain why competently managed, customer-focused market leaders repeatedly lost to inferior entrants. His answer inverted the usual account: incumbents fail not through complacency but by correctly following their most profitable customers upmarket, which vacates the low end and makes the entrant's ascent possible.

FIGURE 1 - THE DISRUPTIVE TRAJECTORY

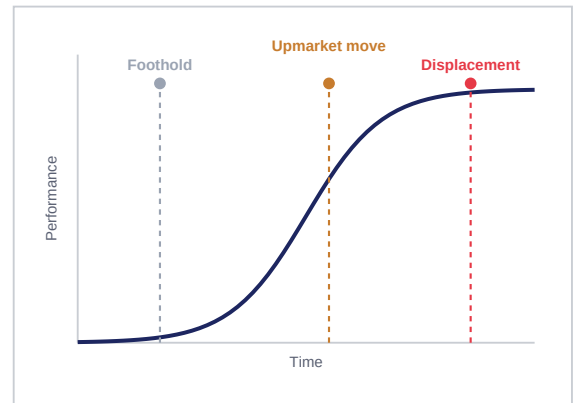


Figure 1. The entrant begins below the performance the mainstream market demands and improves faster than that demand rises. Displacement occurs when the two lines cross, by which point the incumbent's response options are largely exhausted (after Christensen, 1997).

HOW IT IS USED

Test whether a threat matches the trajectory - foothold among the over-served or non-consuming, initially inferior on mainstream attributes, improving faster than the market's requirements - and respond only if it does, because the response to disruption differs from the response to ordinary competition.

WHEN IT IS USED

In competitor analysis when an entrant is dismissed as too basic to matter, at capital allocation when an internal proposal targets a segment the firm currently declines to serve, and in board discussion of an entrant's growth rate.

BY WHOM IT IS USED

Strategy and corporate development teams assessing entrants, business unit leaders defending mature segments, and boards deciding whether to fund a business that would cannibalise existing revenue.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Its predecessor was the S-curve and technology-substitution literature (Foster, 1986), which located the cause of incumbent failure in a technical discontinuity that management failed to see. Christensen relocated the cause in the resource-allocation process: the incumbent sees the entrant clearly and rationally declines to serve its market. This shifted the remedy from better technology forecasting to organisational separation of the disruptive business, a materially different management prescription.

RELATED DEFINITIONS IN THIS COURSE

[Business Model Innovation - Unit 1](#)
[Value Migration - Unit 1](#)
[Technology Adoption Lifecycle - Unit 1](#)
[Competitive Advantage - Unit 3](#)
[General Purpose Technology - Unit 5](#)

SOURCES (HARVARD REFERENCING STYLE)

Christensen, C.M. (1997) *The Innovator's Dilemma: When New Technologies Cause Great Firms to Fail*. Boston, MA: Harvard Business School Press.
 Christensen, C.M., Raynor, M.E. and McDonald, R. (2015) 'What is disruptive innovation?', *Harvard Business Review*, 93(12), pp. 44-53.
 King, A.A. and Baatartogtokh, B. (2015) 'How useful is the theory of disruptive innovation?', *MIT Sloan Management Review*, 57(1), pp. 77-90.
 Lepore, J. (2014) 'The disruption machine', *The New Yorker*, 23 June.